



KCB INVESTOR PRESENTATION

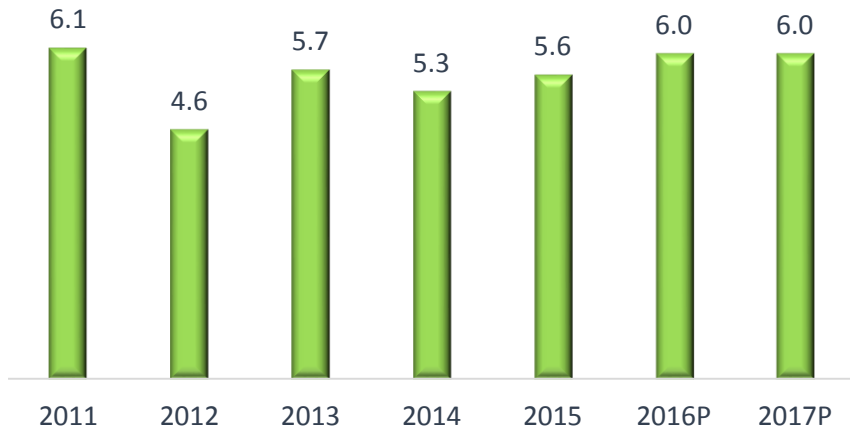
FY2016 GROUP FINANCIAL RESULTS

9 MARCH 2017

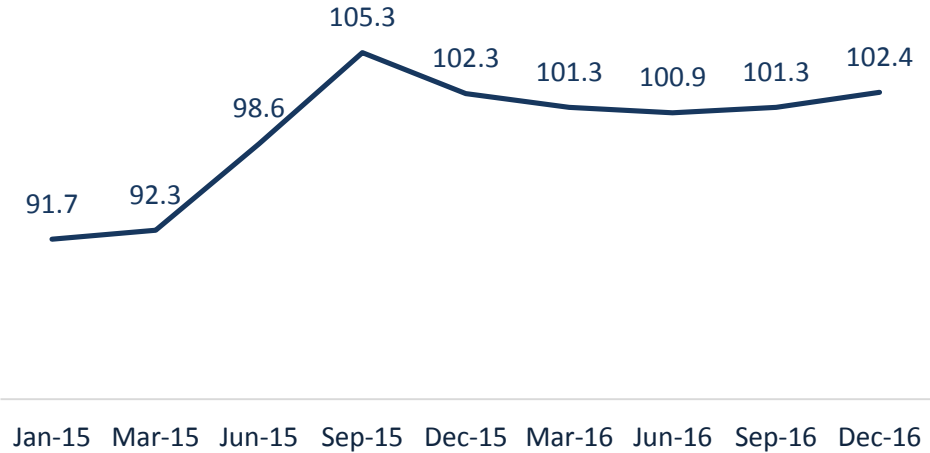
JOSHUA OIGARA GROUP CEO & MD | LAWRENCE KIMATHI GROUP CFO

Macro-Economic Highlights: Kenya

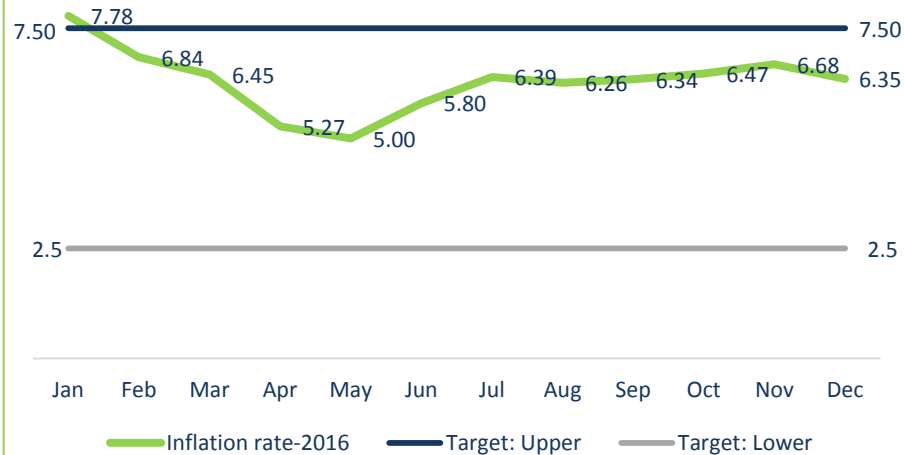
GDP Growth rate (%)



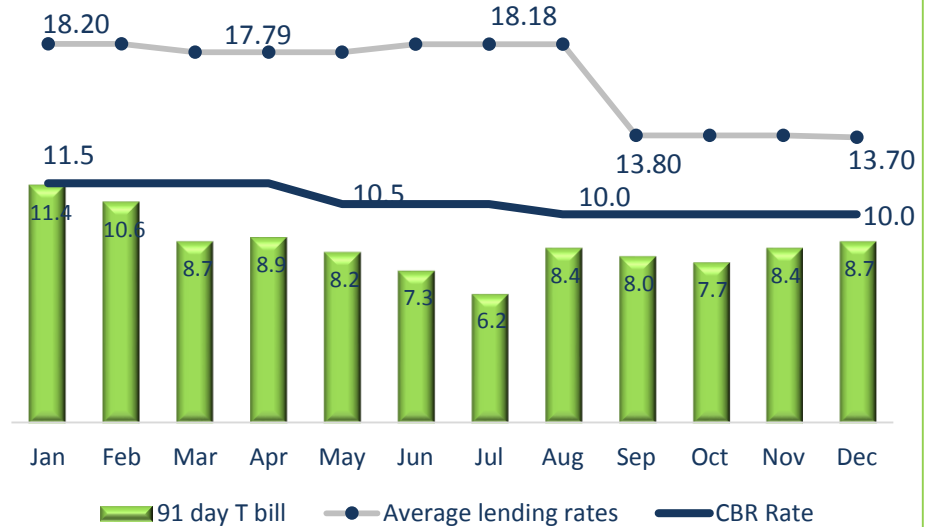
USD/KES Exchange rate



Inflation (%)



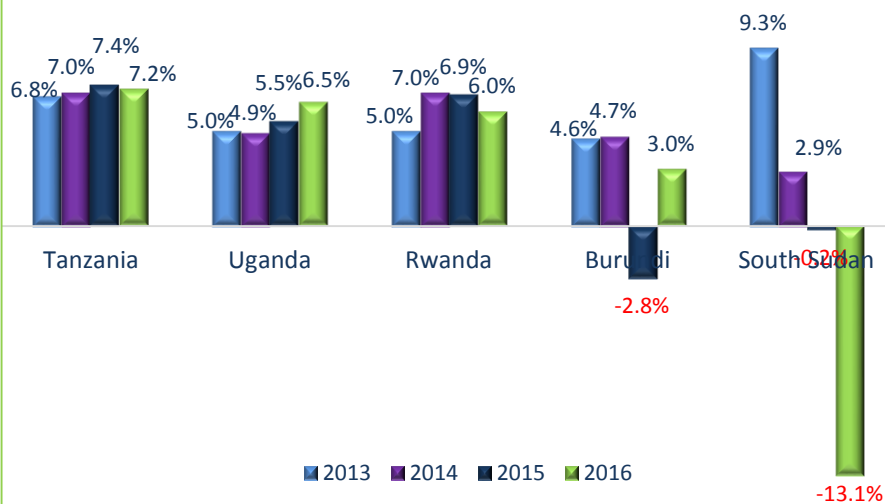
Interest Rates 2016 (%)



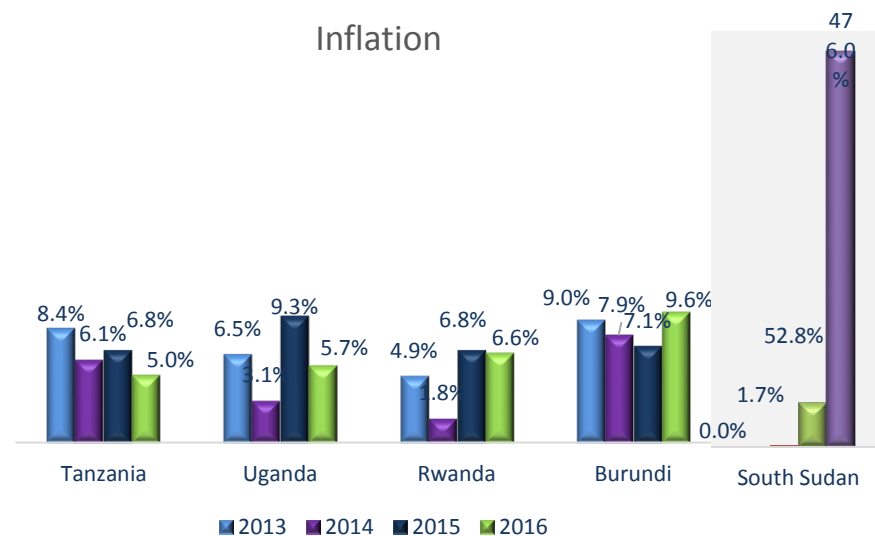
Source: Bloomberg, CBK

Macro-Economic Highlights: Regional

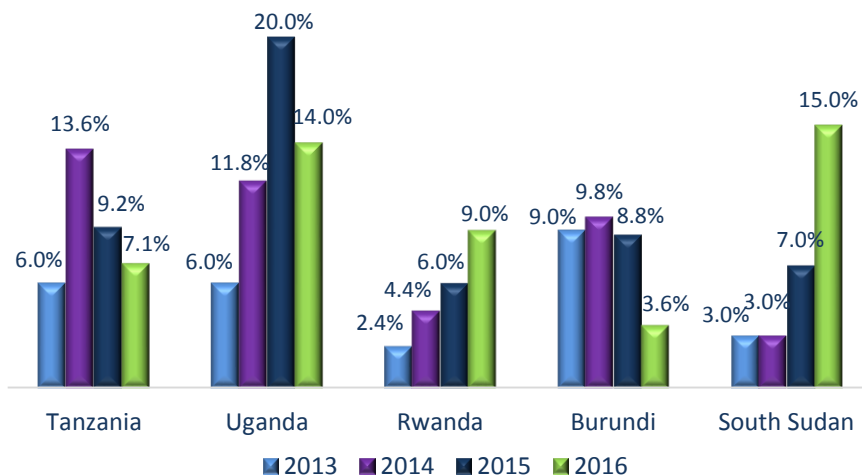
GDP



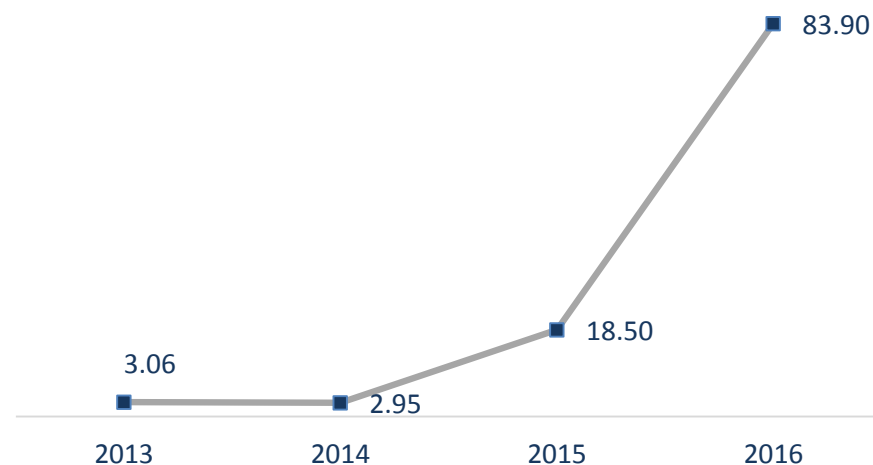
Inflation



Interest Rates - 91 Day T-Bills



SSP Exchange Rate



Source: IMF



KCB 2016 HIGHLIGHTS

Significant Issues for KCB in 2016



Impact of Interest Rate Capping

Downside

Upside

Yield on Earning Assets down from 13.46% to 12.59%

Net Interest Margin down from 11.0% to 9.1%

Cost of Funds up to 2.80% from 2.74%

Loans and advances increase by 26B

Customer deposits increase by 31B

Milestones for KCB in 2016

Brand awareness (Our Brand tracker) up 400bps to 23%

Customer retention rose 10% from 89% to 99%.

Employee satisfaction rose from 82% to 87%

Sustainable Finance Initiative training (KBA) certification score of 84%

Operationalisation of the Group Holding Company

Difficult operating environment in South Sudan, Tanzania and Burundi



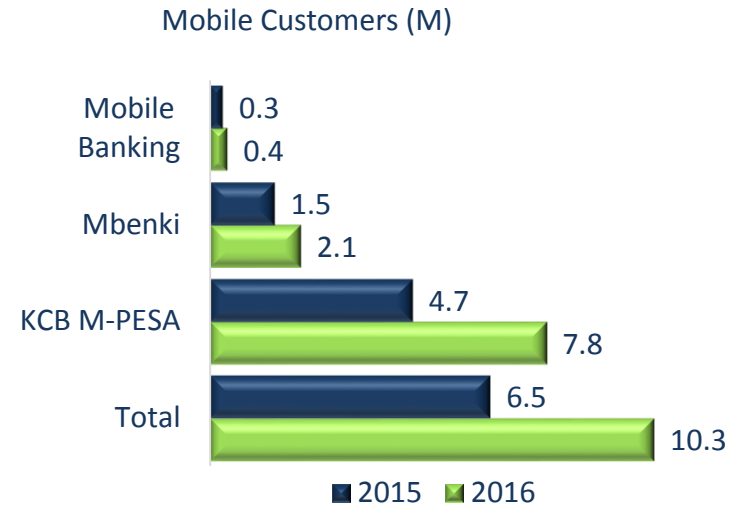
KCB

DIGITAL CHANNEL PERFORMANCE

Strong Momentum on Mobile Customer footprint, over 10 million customers

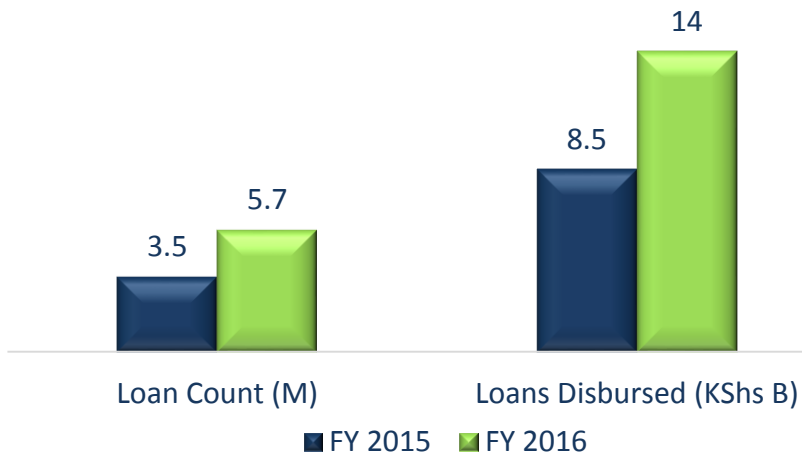
90%
of Total Loans
processed on
mobile

53%
of customer
interactions
are on mobile

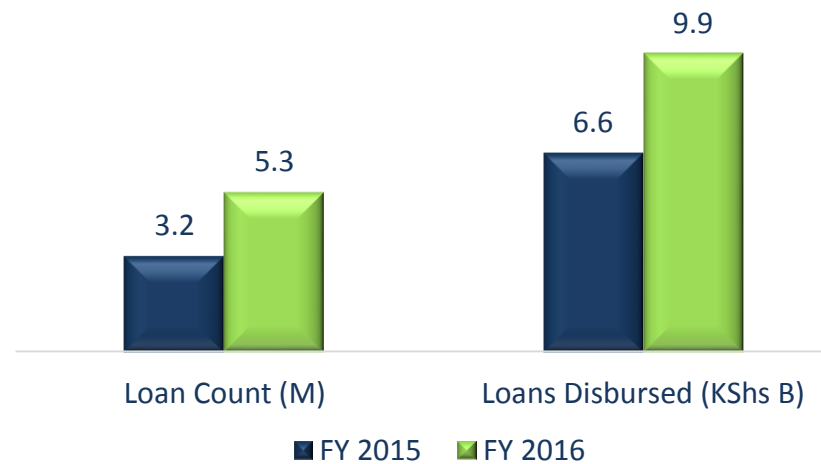


Source: KCB data

Mobile Loans

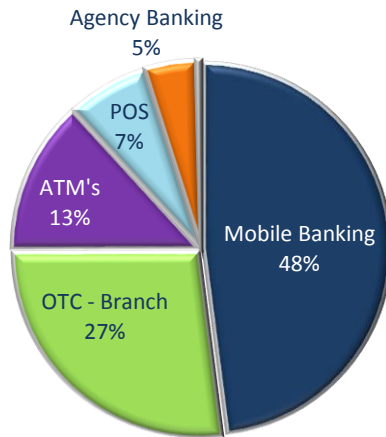


KCB M-Mpesa

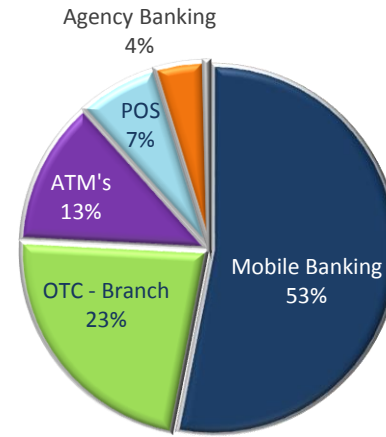


77% of Transactions outside the Branch

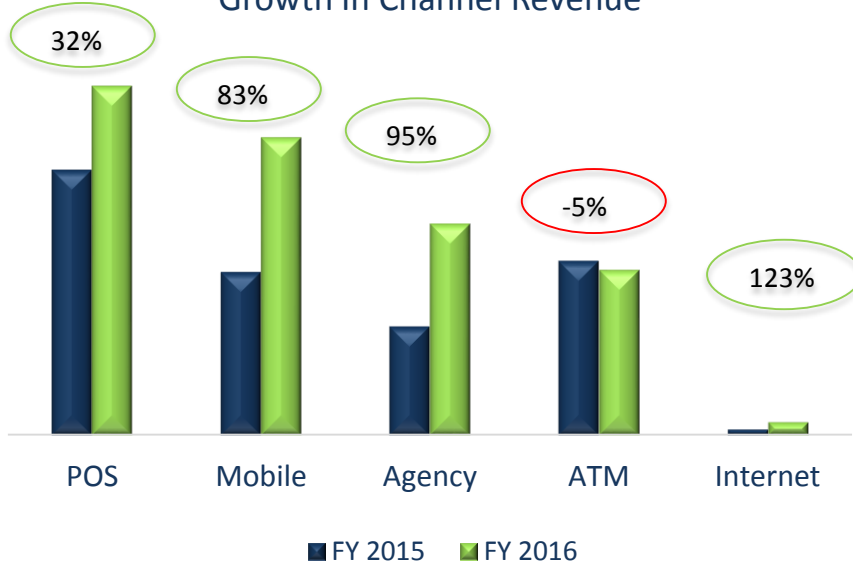
FY 2015



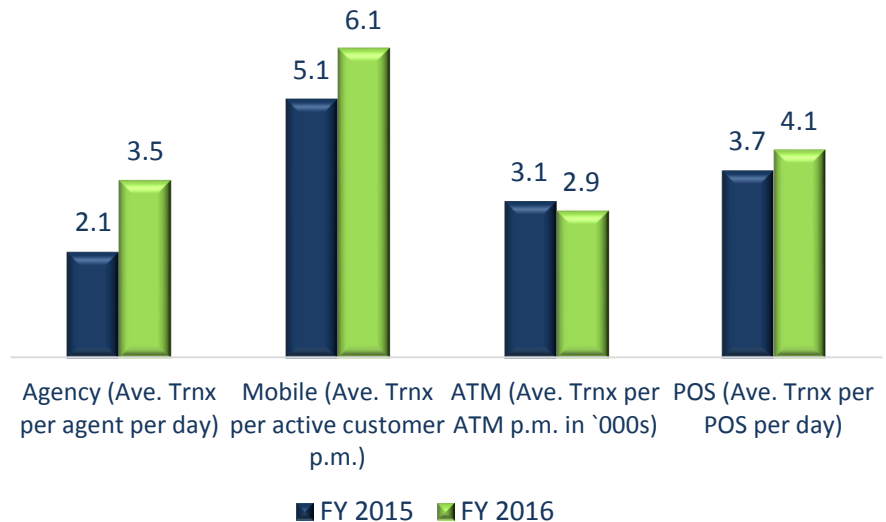
FY 2016



Growth In Channel Revenue



Channels Activity



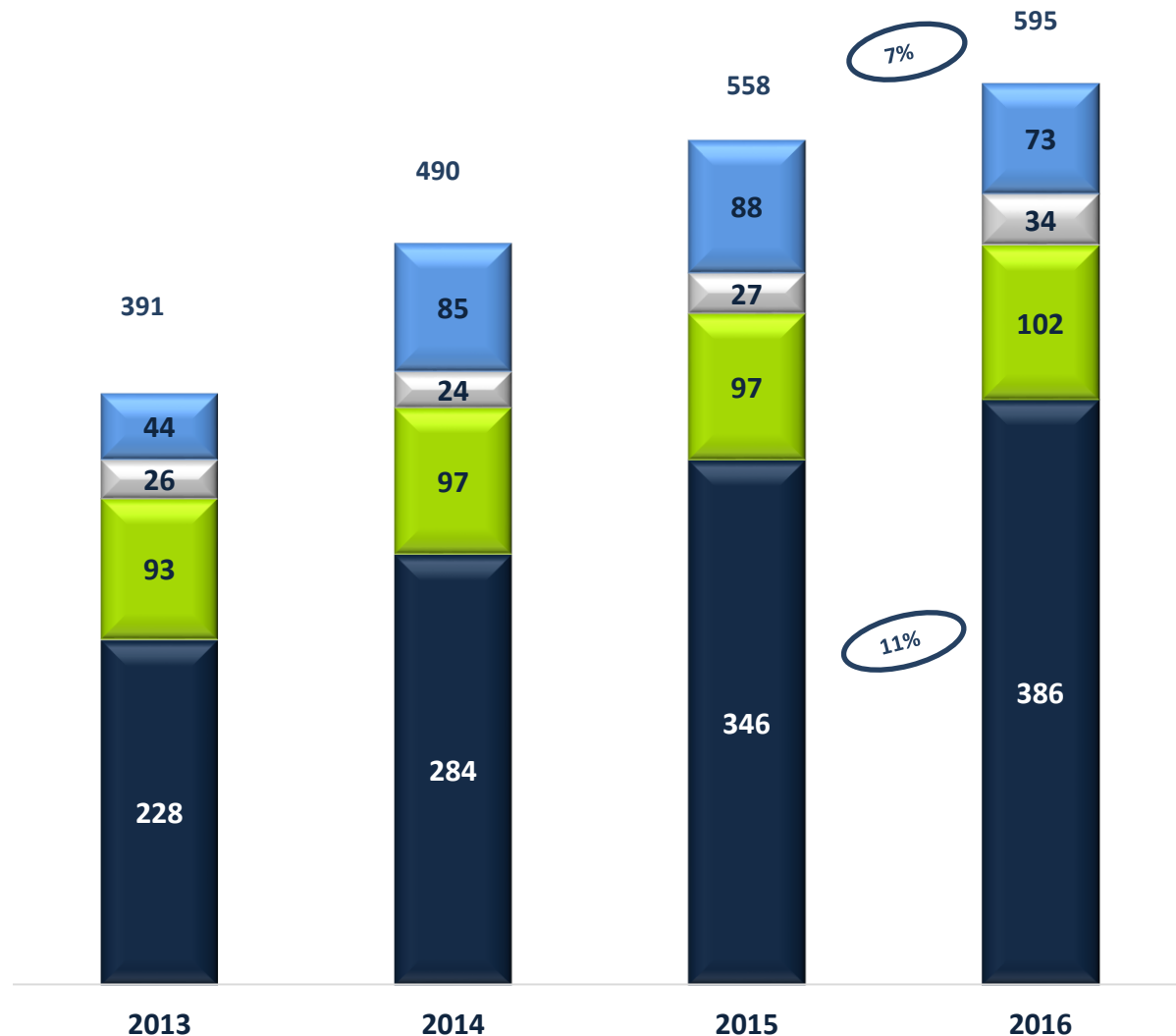
Source: KCB data



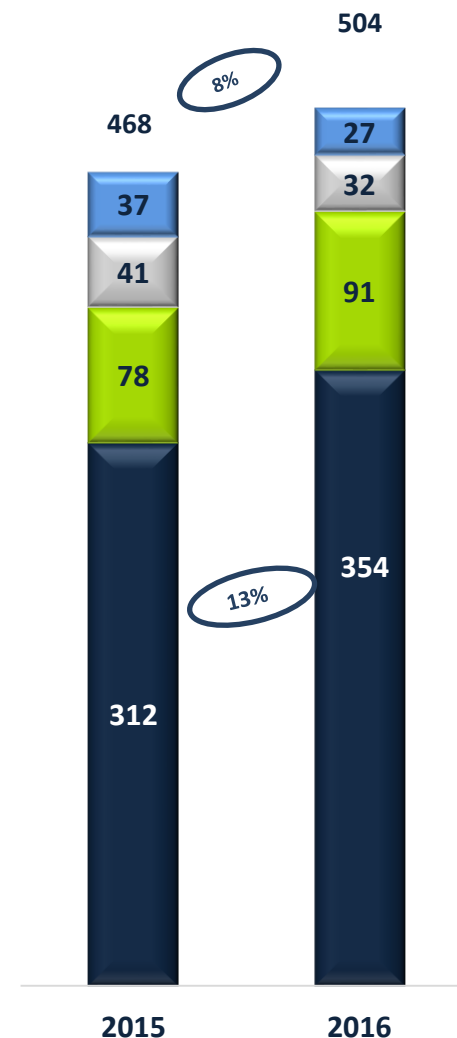
OUR PERFORMANCE TO DATE

11% Growth in Loans and Advances driven by the Kenya Business

KShs B

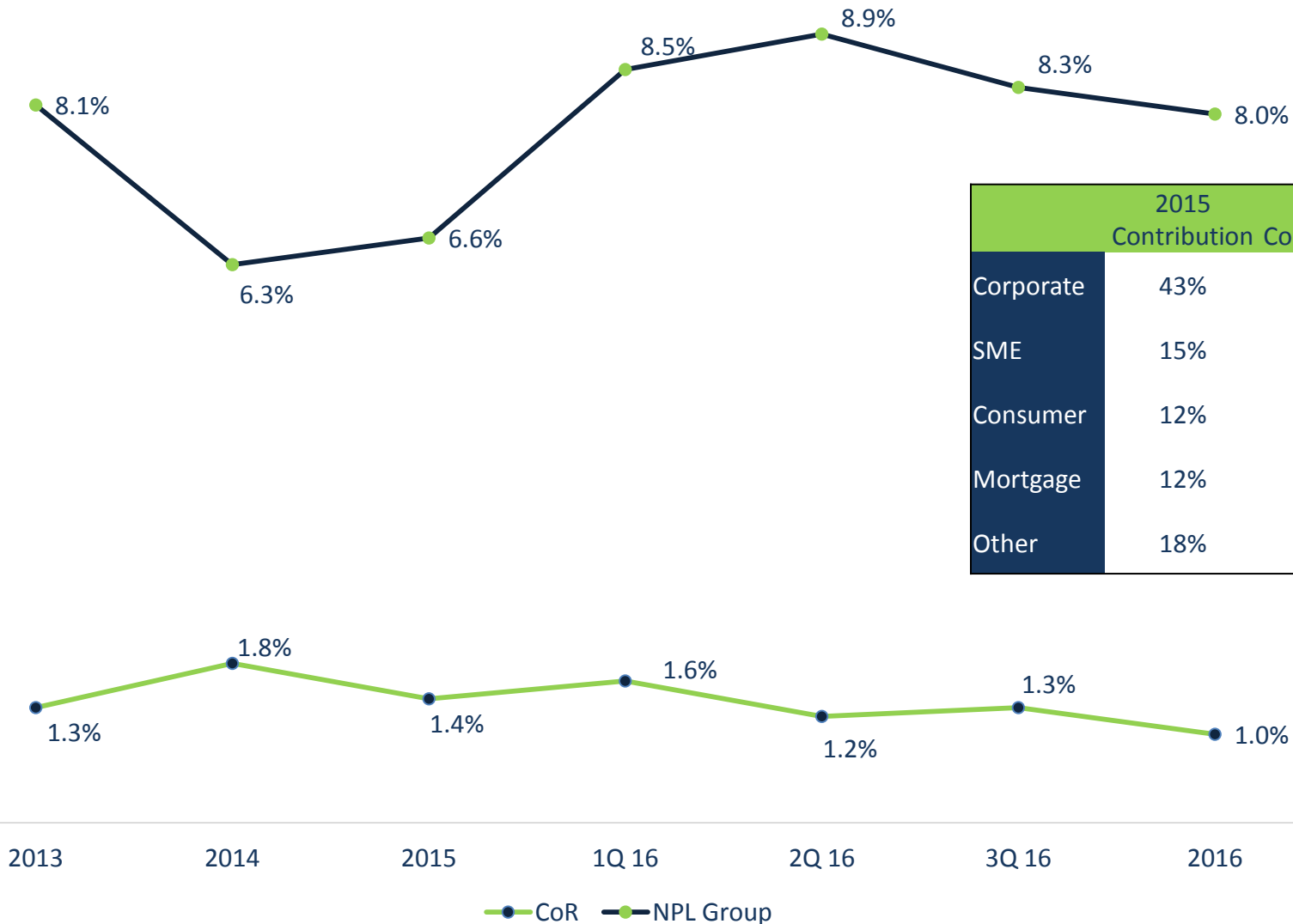


Kenya Asset Portfolio



Net Loans and advances Investment in Govt. Securities Cash and Balances with Central Bank and other Financial Institutions Other Assets

Improvement in Asset Quality



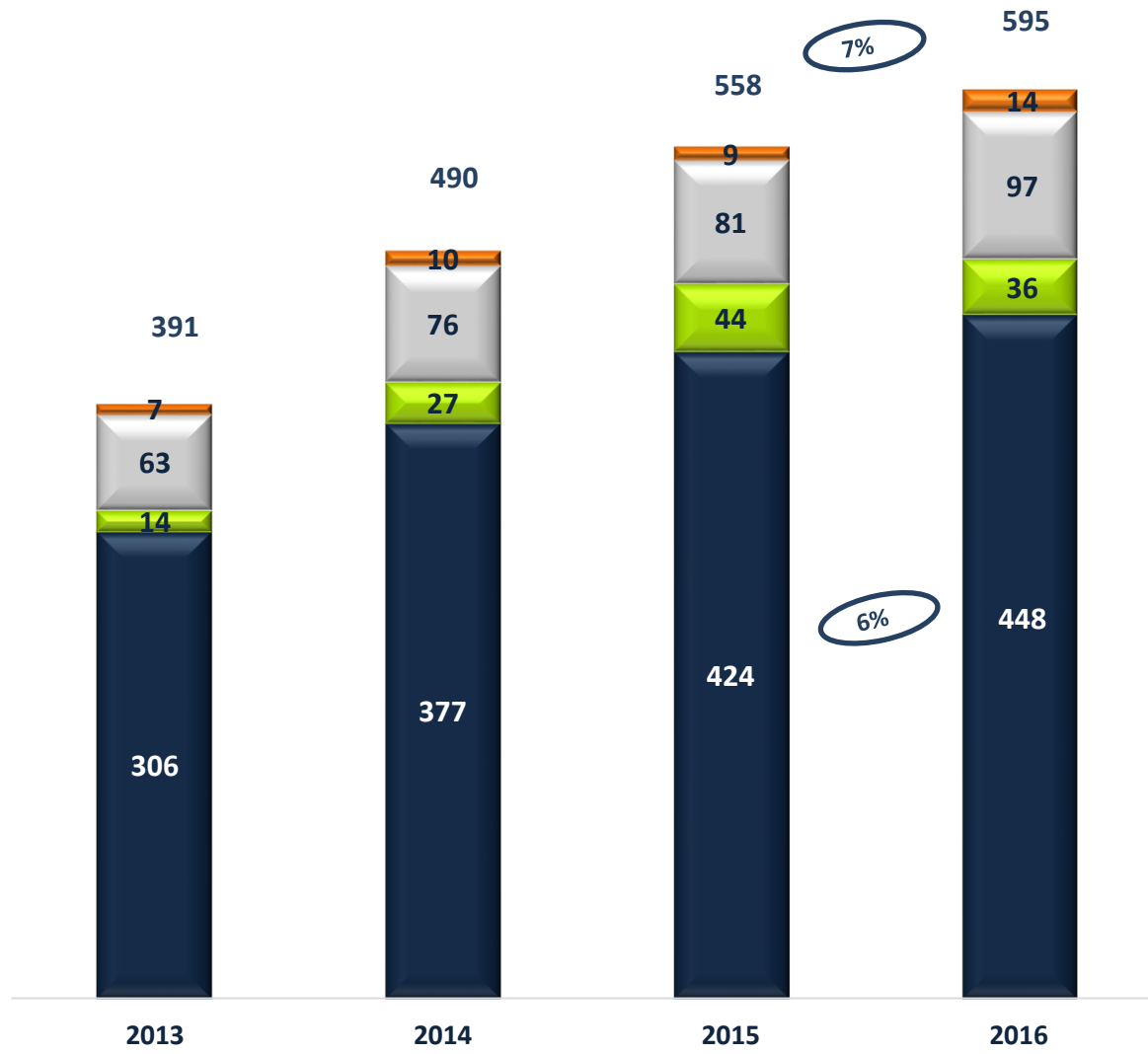
	2015 Contribution	2016 Contribution	YOY Growth
Corporate	43%	49%	55%
SME	15%	16%	46%
Consumer	12%	12%	31%
Mortgage	12%	12%	32%
Other	18%	11%	-17%

Stable Coverage Position

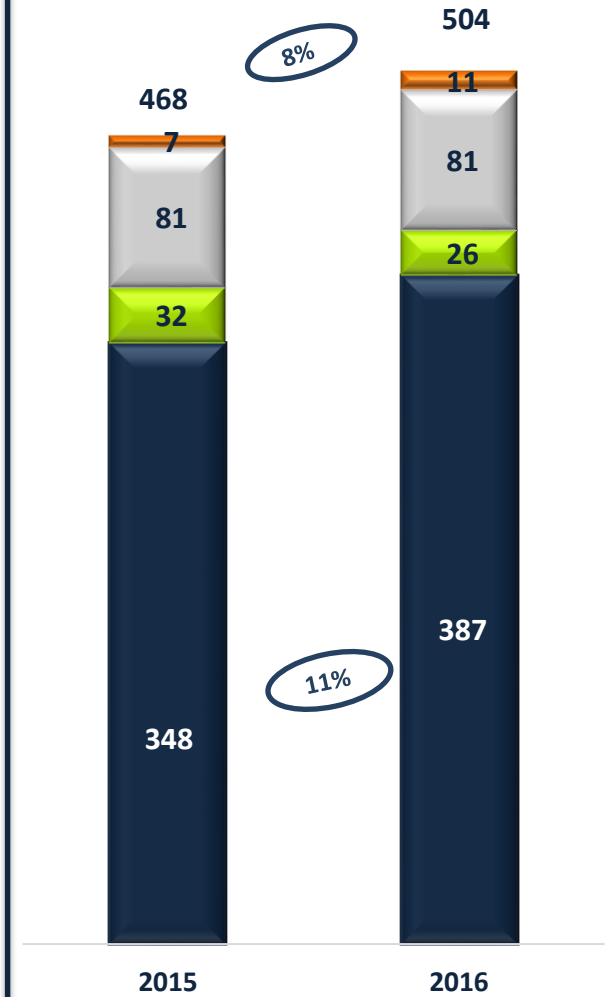


75% of Funding from Deposits

KShs B

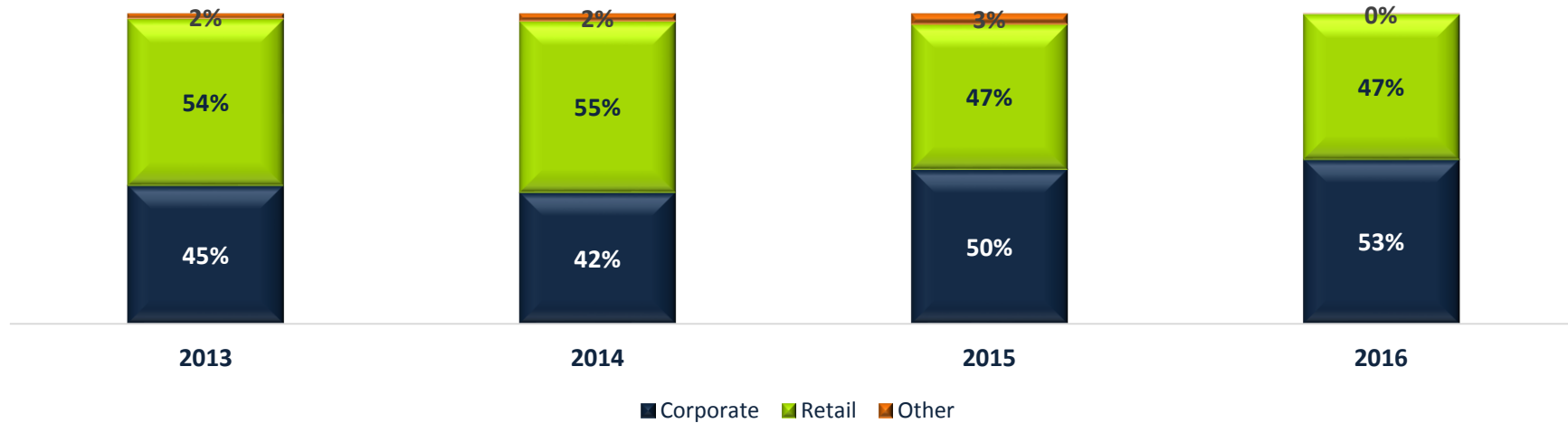


Kenya Funding Portfolio

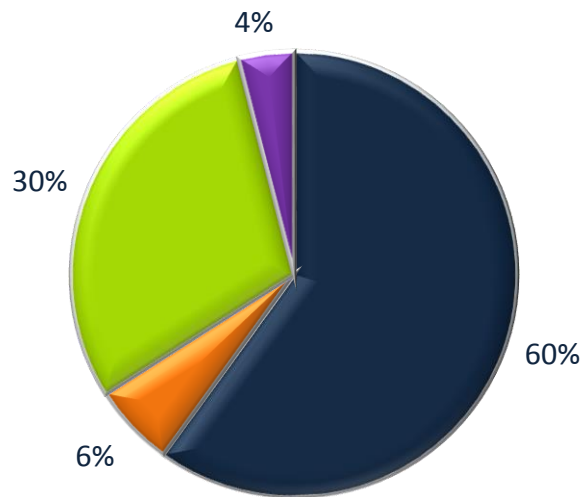


Deposits
 Bal. to banks and debt
 Equity
 Other Liabilities

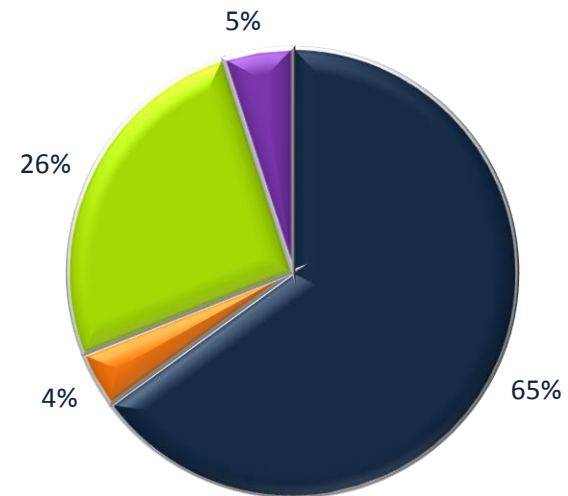
65% of Deposits Primarily Demand Deposits



Deposits by Type FY15



Deposits by Type FY16



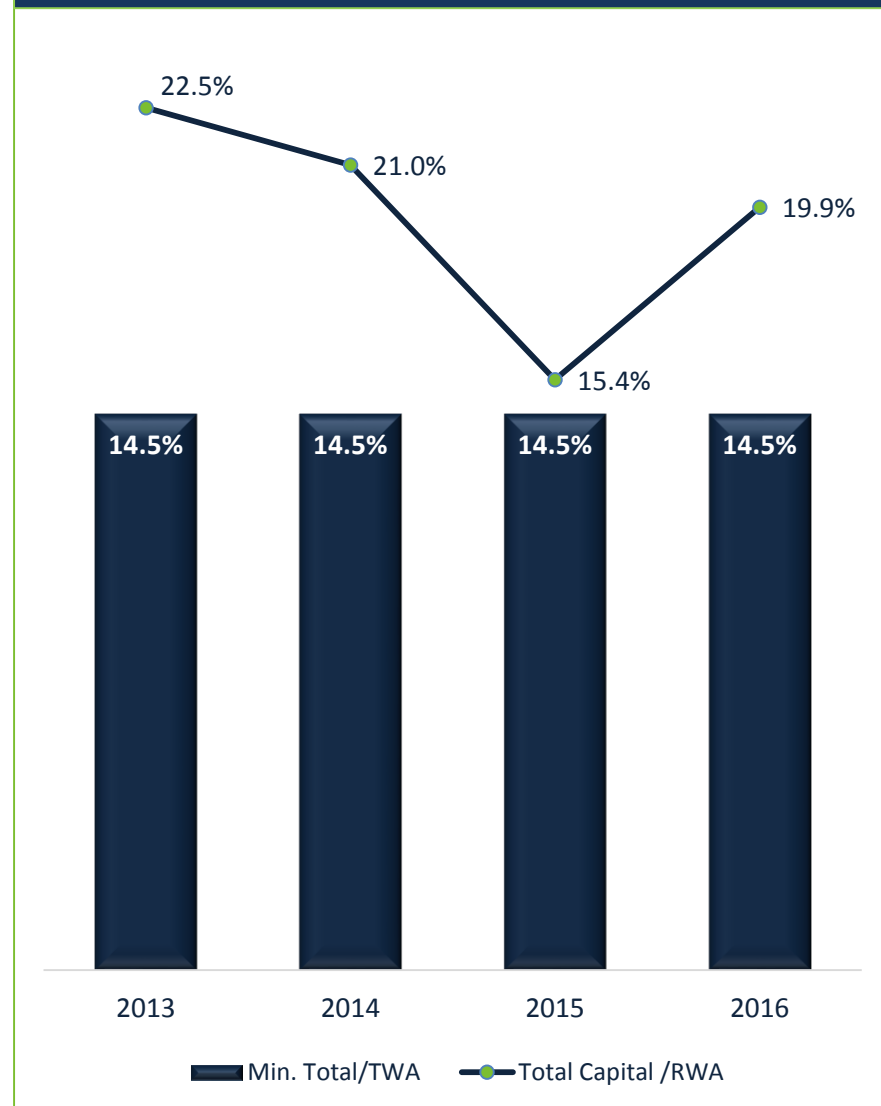
■ Demand ■ Savings ■ Term ■ Call

Finalised Tier II Capital Program in Q3 with IFC

Core Capital to RWA



Total Capital to RWA



Accounting for Hyperinflation

Financial Reporting in Hyperinflationary Economies applies where an entity's functional currency is that of a hyperinflationary economy.

Indicators of hyperinflation:

- The cumulative inflation rate over three years is approaching, or exceeds, 100%.
- The general population regards monetary amounts not in terms of the local currency but in terms of a relatively stable foreign currency. Prices may be quoted in that currency;

The cumulative three year inflation for South Sudan:

- 31 December 2015 at 110.18%.
- 31 December 2016 at 1,285.30%.
- The average annual CPI 31 December 2016 at 1,592.32%

Source: IMF data

Group Balance Sheet

KShs Millions	KCB GROUP		
	Actual Dec - 15	Actual Dec - 16	Y-O-Y Change
Cash	11,965	11,375	(5%)
Balances with Central Bank	23,962	18,055	(25%)
Balances with other institutions	52,579	43,507	(17%)
Investments in Government & Other securities	96,949	102,471	6%
Net loans and advances	345,969	385,745	11%
Fixed assets	10,592	12,674	20%
Other assets	16,078	21,412	33%
Total Assets	558,094	595,240	7%
Customer Deposits	424,391	448,174	6%
Balances due to other banks	23,138	13,123	-43%
Other liabilities	9,182	14,395	57%
Long-term debt	20,130	22,982	14%
Total Liabilities	476,841	498,674	5%
Shareholders' Equity	81,254	96,566	19%
Total Liabilities and Equity	558,094	595,240	7%

10% Growth in PBT

KShs Millions	KCB GROUP		
	Actual Dec - 15	Actual Dec - 16	Y-O-Y Change
Interest Income	56,384	62,806	11%
Interest Expense	17,148	15,779	-8%
Net interest income	39,236	47,027	20%
Foreign exchange income	4,067	5,494	35%
Net fees and commissions	14,160	12,625	-11%
Other income	2,794	4,332	55%
Total operating income	60,257	69,475	15%
Total operating expenses	31,365	33,102	6%
Net provisions for bad debts	2,355	3,824	62%
Profit Before Loss on Monetary Position	26,538	32,549	15%
Loss on net monetary position	-	3,458	
Profit before tax	26,538	29,091	10%
Tax	6,915	9,369	35%
Profit after tax	19,623	19,722	1%

Overview of Key Financial Ratios

1Q16	2Q16	3Q16		KENYA	GROUP
22.4%	24.4%	24.6%	Return on Average Equity	24.3%	22.2%
48.4%	47.9%	47.7%	Cost to Income	45.2%	47.6%
8.5%	8.9%	8.3%	Gross NPL to Gross Loans	7.8%	8.0%
69.1%	71.1%	76.0%	NPL Coverage	79.6%	69.5%
23.3%	19.5%	17.4%	Debt to Equity	25.5%	23.8%
26.0%	31.6%	28.9%	Non funded income to total income	26.7%	32.3%
4.5%	3.9%	3.6%	Cost of funds	3.3%	3.3%
9.4%	9.7%	10.0%	Net Interest Margin	10.4%	9.6%
1.6%	1.4%	1.3%	Cost of risk	1.1%	1.0%
84.4%	80.2%	84.0%	Loan to Deposit Ratio	91.3%	86.1%
16%	8%	5%	Growth of Net Loans and Advances	13%	11%
7%	-2%	-7%	Growth of Customer Deposits	11%	6%

AGM to be held on 21 April 2017, at Safaricom Kasarani Indoor Stadium

At the AGM, we shall propose a final dividend of KShs: 3:00 per share up 50% from KShs: 2:00 per share declared in 2015

Our Outlook

2017

Exponentially grow our digital financial services and Fintech

Excellence in Customer Experience

Achieve Stronger International Business Performance

Grow non interest revenue

Best In class information technology

Champion our sustainable business priorities

Manage emerging risks in a difficult operating environment

Net Interest Margin

8.5 – 9.0%

Non Funded Income

33.1%

Cost to Income Ratio

51.4%

Staff CTI

26.5%

Return on Equity

20.0%

Return on Assets

3.0%

NPL

8.0%

Cost of Funds

3.2%

Customer Deposit Growth

12%

Net Loans Growth

6%



YOU CAN REACH US ON:

www.kcbbankgroup.com



SMS: 22522



0711 087 000 / 0732 187 000



contactcentre@kcb.co.ke



Investor Relations Department
Email: investorrelations@kcb.co.ke
www.kcbbankgroup.com